

Of Gambling And Ganesha

AFTER THE DOT-BUST of 2000-2001, a mini dot-boom seems to be brewing again. Marketing spends for online has increased over the last two years, and so has the valuation of sites that held on during the bust. The Internet advertising rebound has once again fuelled the imaginations of those who wouldn't like to spend too much time getting rich.

This time round, I think there will be a more mature and responsible approach to the resurgent online craze. The market for domain name sales has heated up once again—in 2005, domain name sales generated \$29 million.

What caught my attention, though, was an auction on eBay for ganesh.com, for which the bid started at a mere Rs 12.5 lakh (\$2,700). With the festive season upon us and Ganesha celebrations that were held across the nation, this was indeed timed well. But the last bid (and the only one) I found while writing this was just Rs 50,000. Try comparing this with the highest domain name sales thus far: sex.com—\$14 million (Jan 2005), Business.com—\$7.5 million (Nov 1999), Beer.com—\$7 million (2004), Diamond.com—\$6 million (2000), Casino.com—\$5.5 million (Oct 2003). Our gods seem to have lost out to the lucre of porn, liquor and capitalism. And the God of Wealth seems to be finding it difficult to generate enough wealth for his online presence.

Coming back to our point, we must ask whether keyword-targeted domains offer a business an additional advantage over search results or page rank alone. As a matter of fact, data suggests that between 67 and 86 per cent of online consumers reach Web sites through direct navigation, and are twice as likely to make a purchase as those coming to the sites from search engines. Google states that search results pages, as a whole, represent only 5 per cent of Internet traffic.

But we have been forewarned: "Prices at the boom time around the year 1999 had no bearing on reality. Everyone just assumed they were going to be worth a fortune," says Ron Jackson, editor of Domain Name Journal.

Take the case of Business.com: although it fetched \$7.5 million in 1999, today it is all but a



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shadow of its former self, a simple text-based search engine run by a skeleton staff. Shouldn't this be a warning to would-be speculators?

History has a habit of repeating itself, but this time I'm not too sure—there might be a shake-up rather than a bust in the true sense.

A handwritten signature in black ink, appearing to read 'D. Ajwani'.

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